

Living standards and productivity



Living standards rise when economies become more productive. Suppose that a new technology allows workers to produce more each day: the economy generates more resources to go round, wages rise and living standards improve. Productivity improvements can be driven by the capital and labour available in a country. Suppose that a country is scarce in labour compared to capital – wages are high, but the prices of machines and fuel are low. This will encourage businesses to install machines, and as these machines are improved, the economy becomes more productive. Some argue that this is what happened during Britain's Industrial Revolution.

Another factor behind productivity improvement is market size. When markets are large, cost advantages can be reaped through the mass production of standardized products, a factor that was critical to the early growth of the American economy.

Competition, too, helps productivity – when firms are in competition they look for ways of being more productive.